MERGER AGREEMENT 3 lfr

AGREEMENT AND PLAN OF MERGER
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Dated: May 1, 2026

BY AND BETWEEN:
Nexus Acquisition Corp. ("Merger Sub")
and
Innovate Solutions Inc. ("Company")

WHEREAS, Merger Sub desires to acquire all outstanding shares of Company; and

WHEREAS, the Boards have approved this transaction.

ARTICLE I: DEFINITIONS

"Closing" means the consummation of the Merger.
"Closing Date" means the third business day following satisfaction of conditions.
"Code" means the Internal Revenue Code of 1986, as amended.
"Governmental Entity" means any federal, state, local, or foreign government body.
"Knowledge" means actual knowledge of the officers listed on Schedule 1.1 after reasonable inquiry.
"Lien" means any mortgage, pledge, security interest, or encumbrance.
"Material Adverse Effect" means any change that has a disproportionate adverse effect on the business, excluding general economic conditions, changes in law, or acts of war.
"Permitted Liens" means (i) liens for taxes not yet due, (ii) statutory liens of landlords, (iii) easements that do not materially impair use.

ARTICLE II: PURCHASE PRICE

2.1 Base Purchase Price: $120,000,000.

2.2 Payment at Closing: $90,000,000 cash.

2.3 Escrow: $15,000,000 held for 18 months for indemnification claims.

2.4 Earnout: $15,000,000 payable as follows:
- $7,500,000 if Company achieves Revenue of $50,000,000 in FY2026
- $7,500,000 if Company achieves EBITDA of $12,000,000 in FY2026
- All calculations per GAAP, audited by Big 4 firm
- Disputes resolved by independent accountant within 30 days

2.5 Working Capital Adjustment: Closing cash adjustment based on target working capital of $8,000,000.

ARTICLE III: REPRESENTATIONS AND WARRANTIES OF COMPANY

Company represents and warrants as follows (all qualified by Disclosure Schedule):

3.1 Organization: Company is duly organized, validly existing, and in good standing.

3.2 Capitalization: Authorized shares: 10,000,000 Common; outstanding: 5,000,000. All validly issued.

3.3 Authority: Company has full power to execute and perform this Agreement.

3.4 Financial Statements: Audited financial statements for FY2023-2025 fairly present financial condition in accordance with GAAP.

3.5 Absence of Certain Changes: Since December 31, 2025, no Material Adverse Effect has occurred.

3.6 Litigation: No pending or threatened litigation except as disclosed.

3.7 Compliance with Laws: Company is in compliance with all applicable laws.

3.8 Tax Matters: All tax returns filed, all taxes paid.

3.9 Intellectual Property: Company owns or has valid licenses to all IP. All registered IP listed on Schedule 3.9.

3.10 Material Contracts: All material contracts listed on Schedule 3.10. No defaults.

3.11 Employees: No labor disputes. All key employees have executed non-competes.

3.12 Environmental: In compliance with all environmental laws.

3.13 Survival: All representations survive Closing for 18 months (6 years for tax and fundamental reps).

ARTICLE IV: REPRESENTATIONS AND WARRANTIES OF PURCHASER

4.1 Organization: Purchaser is duly organized.

4.2 Authority: Purchaser has full authority.

4.3 Funds: Purchaser has sufficient funds to close.

ARTICLE V: COVENANTS

5.1 Conduct of Business Pending Closing: Company shall operate in ordinary course, including:
- No dividends or share repurchases
- No material acquisitions or dispositions
- No new debt incurrence
- No material changes to compensation
- Prompt notice of any Material Adverse Effect

5.2 Access: Purchaser shall have reasonable access to books and records.

5.3 Confidentiality: Confidentiality agreement remains in effect.

5.4 Non-Solicitation: Company shall not solicit alternative transactions.

ARTICLE VI: CLOSING CONDITIONS

6.1 Conditions to Each Party's Obligations:
(a) No injunction prohibiting closing
(b) Regulatory approvals (HSR, foreign investment)

6.2 Conditions to Purchaser's Obligations:
(a) Representations true and correct in all material respects
(b) No Material Adverse Effect
(c) Delivery of closing certificates and documents

(d) Resignation of target directors
(e) Employment agreements with key executives

6.3 Conditions to Company's Obligations:
(a) Representations true and correct
(b) Payment of purchase price
(c) Release of guarantees

ARTICLE VII: INDEMNIFICATION

7.1 Survival Period: 18 months post-Closing (6 years for fundamental reps, tax, fraud).

7.2 Indemnification Cap: $20,000,000 (15% of purchase price).

7.3 Indemnification Basket: $500,000 (only claims exceeding basket aggregated).

7.4 Escrow: First $15,000,000 of claims paid from escrow.

7.5 Fraud Carve-Out: No cap or basket for intentional fraud.

7.6 Exclusive Remedy: This Article VII is the sole remedy, except for fraud.

ARTICLE VIII: TAX MATTERS

8.1 Tax Indemnification: Purchaser indemnifies for post-Closing taxes.

8.2 Straddle Periods: Taxes prorated.

8.3 Section 338 Election: Purchaser may make election.

ARTICLE IX: TERMINATION

9.1 Termination Rights:
(a) Mutual written consent
(b) Either party if Closing not occurred by December 31, 2026
(c) Either party if permanent injunction
(d) Purchaser if breach by Company not cured within 30 days
(e) Company if breach by Purchaser not cured within 30 days

9.2 Effect of Termination: No liability except for willful breach.

ARTICLE X: GENERAL PROVISIONS

10.1 Entire Agreement: This Agreement, together with Disclosure Schedule and Exhibits, constitutes the entire agreement.

10.2 Governing Law: Delaware (without regard to conflicts of laws).

10.3 Dispute Resolution: Exclusive jurisdiction of Delaware Court of Chancery.

10.4 Amendments: In writing signed by both parties.

10.5 Waiver: In writing; no implied waiver.

10.6 Severability: If any provision invalid, remainder remains enforceable.

10.7 Counterparts: Electronic signatures permitted.

10.8 Notices: In writing to addresses set forth herein.

10.9 Assignment: No assignment without consent.

10.10 Third-Party Beneficiaries: None.

10.11 Fees and Expenses: Each party bears its own expenses.

10.12 Specific Performance: Parties entitled to injunctive relief.

ARTICLE XI: DISCLOSURE SCHEDULE

All disclosures attached and complete.

IN WITNESS WHEREOF, the parties have executed this Agreement as of the date first written above.

NEXUS ACQUISITION CORP. ("Purchaser")

By: /s/ Elena Rodriguez
Name: Elena Rodriguez
Title: Chief Executive Officer
Date: May 1, 2026

INNOVATE SOLUTIONS INC. ("Company")

By: /s/ David Park
Name: David Park
Title: President
Date: May 1, 2026

SCHEDULES (All Attached):
Schedule 1.1 - Knowledge Individuals
Schedule 3.9 - Registered IP
Schedule 3.10 - Material Contracts
Schedule 3.11 - Key Employees
Schedule 3.6 - Litigation (None)
Schedule 3.12 - Environmental Compliance